TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

ABC News (Tom Crowley)
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The Greens pitch a $26,000 tax-free threshold and a matching welfare boost

> Greens leader David Shoebridge would lift the tax-free threshold from **$18,200 to $26,000**, which is worth up to **$1,092 a year** ($21 a week). The same amount would be added to income support payments. The Parliamentary Budget Office (PBO) puts the cost at **$22 billion a year**.

WHAT HAPPENED

- The boost would apply to JobSeeker, student and carer payments, and the Age Pension.
- **Funding:** a 25% gas export tax (estimated by the Australia Institute at $17b a year) and higher mining royalties ($28b, a ballpark figure). **Neither has been costed by the PBO.**
- The PBO warns the welfare boost could discourage some recipients from working extra hours.
- The $1,092 isn't means-tested, but the payments are, so recipients would lose it all at once when they cross their payment's eligibility threshold.
- **Context:** on Monday the Coalition released partial PBO costings showing **$31.3b** in cuts over four years, mostly to climate programs. These would fund its $9.7b income tax policy.

Progressive tax: a tax where the average rate rises with income.
Effective marginal tax rate: the share of an extra dollar earned that is lost to tax and to withdrawn benefits.

KEY NUMBERS

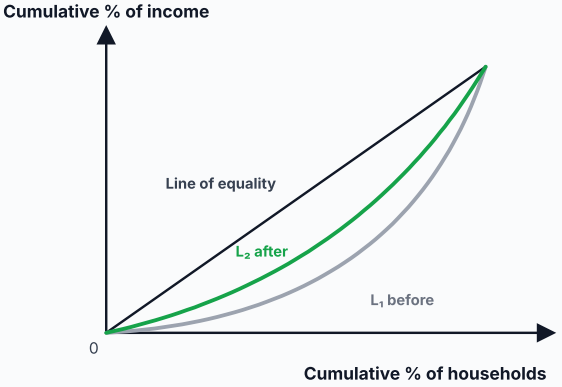
$26,000
proposed tax-free threshold, up from $18,200

$1,092
maximum gain per year ($21 a week)

$22b
PBO cost per year

$31.3b
Coalition's proposed cuts over four years

DIAGRAM — A flat-dollar boost reduces inequality



Everyone gets up to the same **$1,092**, which is a much bigger share of a low income than a high one. Income shares move towards the bottom of the distribution.

The Lorenz curve moves from L_1 towards the line of equality at L_2, and the Gini coefficient falls. The diagram is illustrative only; the actual change would be small.

Exam angle: equity versus efficiency. The plan improves equity but costs $22b a year, depends on taxes that haven't been costed, and may weaken work incentives at payment cut-offs. Compare it with the Coalition's plan, which pays for bracket indexation by cutting climate programs.

WINNERS AND LOSERS — Who gains and who pays

Gains
Low-income earners and income-support recipients gain the most as a share of income. All taxpayers earning over $26,000 gain the full $1,092.

Costs and risks
The budget bears $22b a year; gas exporters and miners face new taxes; and work incentives may weaken at payment cut-offs.

SYLLABUS LINK

Topic 4 – **Fiscal policy**: tax design, redistribution and budget funding. Topic 3 – distribution of income.

TRY THIS

Evaluate the effects of raising the tax-free threshold on equity and efficiency in the Australian economy. **(6 marks)**

ABC News – Greens: https://abc.net.au/news/2026-10-27/greens-leader-proposes-tax-cut-and-welfare-boost/107315572
ABC News – Coalition costings: https://www.abc.net.au/news/2026-10-26/coalition-says-cuts-to-save-budget-31-billion/107310512